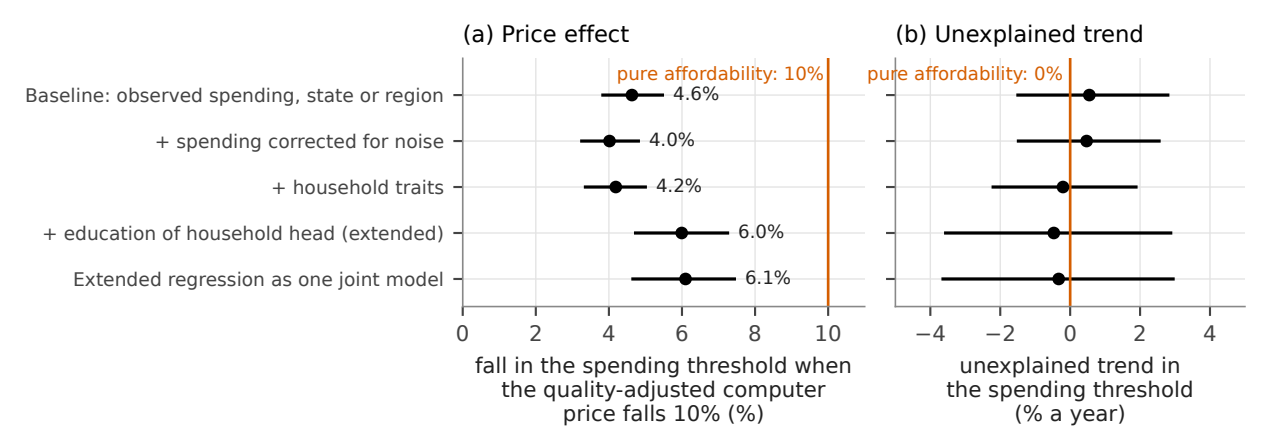
(a) Price effect
(b) Unexplained trend
pure affordability: 10%
pure affordability: 0%
Baseline: observed spending, state or region
+ spending corrected for noise
+ household traits
+ education of household head (extended)
Extended regression as one joint model
4.6%
4.0%
4.2%
6.0%
6.1%
0
2
4
6
8
10
−4
−2
0
2
4
fall in the spending threshold when the quality-adjusted computer price falls 10% (%)
unexplained trend in the spending threshold (% a year)